COVERAGE ANALYSIS

April 29, 2026 | step279_verify

Perspective: Landlord

This analysis presents coverage gaps and exposure statements from the landlord's perspective.

Detection focuses on tenant-disfavor asymmetry; tenant-favorable asymmetry is not yet separately surfaced.

DOCUMENT OVERVIEW

Single-document coverage analysis -- no reference template

Parties: MERIDIAN COMMERCIAL PROPERTIES LLC (Landlord) / WELLNESS PLUS PHARMACY LLC (Tenant)

Property: 4500 Commerce Boulevard, Fairfield, State of Columbia

Lease Type: Retail / Shopping Center

Term: 5 years (Commencement Date (as specified in Section 4.1) -- 5 years after the Commencement Date)

Renewal: One (1) additional period of five (5) years

Rent: $19,600.00

Escalation: 3% annually

Security: Three (3) months' Base Rent

CAM/OpEx: Triple net lease; Tenant pays Proportionate Share of CAM Charges

Permitted Use: Retail business for the operation of a licensed pharmacy and the sale of health and wellness products

Key Terms:

- 5-year initial term with one 5-year renewal option.
- Base rent of $19,600.00/month with 3% annual compounding escalation.
- Triple net lease structure where tenant pays proportionate share of CAM charges.
- Tenant granted exclusive right to operate a pharmacy and health/wellness business in the center.
- Early termination right after 2nd Lease Year with 180 days' notice and 6 months' rent fee.

RUN SYNOPSIS

1 require attention, 4 favorable terms, 6 worth reviewing, 7 covered (across 18 issue areas analyzed)

PROVISION CHECKLIST

✕ **Needs Attention:** LP-09 Subletting & Assignment

✚ **Favorable Terms to Preserve:** LP-07 Common Area Maintenance (CAM), LP-11 Default & Remedies, LP-13 Indemnification & Liability, LP-14 Force Majeure

■ **Worth Reviewing:** LP-02 Rent Escalation, LP-03 Lease Term & Renewal, LP-08 Insurance Requirements, LP-10 Alterations & Improvements, LP-12 Early Termination, LP-17 Dispute Resolution

✓ **Covered:** LP-01 Rent & Payment Terms, LP-04 Security Deposit, LP-05 Permitted Use, LP-06 Maintenance & Repairs, LP-15 Signage Rights, LP-16 Parking, LP-18 Holdover Provisions

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ASYMMETRIC PROVISIONS IN YOUR FAVOR

The following provisions tilt in the landlord's favor based on detected patterns. Provisions that tilt in the tenant's favor are not yet separately surfaced.

[!] **LP-07 Common Area Maintenance (CAM)** — Uncapped CAM, no audit rights

Missing: excluded expense categories

Tenant bears uncapped and potentially expanding CAM charges because the share calculation, included cost categories, and annual increases are not capped or tightly defined. Tenant has no ability to audit or challenge the pass-throughs, so billing errors, reclassifications, or cost shifting by Landlord become Tenant's risk and can materially increase occupancy costs.

[!] **LP-11 Default & Remedies** — Aggressive default remedies, short cure

Missing: tenant's right to cure third-party defaults

Tenant can be declared in default quickly and without prior notice, giving Landlord leverage to accelerate remedies (including termination and eviction) before Tenant has a realistic chance to fix payment or operational issues. Tenant bears the cost and disruption of an unusually short non-monetary cure period, increasing the risk of losing the space over minor or administrative breaches.

[!] **LP-13 Indemnification & Liability** — Asymmetric indemnification

Missing: cap on liability (if any)

Tenant bears broad indemnity exposure while getting only a narrow indemnity back from Landlord (limited to gross negligence or willful misconduct), so routine landlord-side negligence and related third-party claims can still land on Tenant. Landlord is protected far more than Tenant, leaving Tenant to absorb defense costs and losses with limited ability to shift risk back.

[!] **LP-14 Force Majeure** — Wholly-untenantable abatement only

Missing: partial rent abatement or adjustment for operational impairment

Tenant has limited force majeure relief and no meaningful rent protection unless the space becomes wholly untenantable, so Tenant can be stuck paying full rent even when operations are materially impaired (e.g., utility loss, restricted access, or regulatory shutdown). Tenant also bears risk that narrow/unclear event definitions and excused-obligation scope leave key performance duties unexcused while Landlord's obligations are not equally affected.

COVERAGE & GAPS

The following provisions are incomplete, missing, or have integrity issues that warrant attention regardless of perspective.

[!] **LP-09 Subletting & Assignment** — Recapture right limits assignment

Missing: recapture right (landlord can terminate and lease directly), assignment in connection with sale of business

Landlord can recapture the space if Tenant seeks to sublet or assign, letting Landlord terminate Tenant's lease and lease directly while Tenant loses the deal and any expected transfer value. Tenant also lacks clear rights to assign in connection with a sale of its business, which can block or delay an exit transaction or force Tenant to keep paying rent after selling.

[~] **LP-02 Rent Escalation** — No rent escalation cap

Missing: escalation cap or ceiling, calculation methodology

No rent escalation cap; landlord retains pricing flexibility but bears the dispute risk that comes with uncapped or formula-driven increases

[~] **LP-03 Lease Term & Renewal** — Renewal mechanism undefined

Missing: rent at renewal (formula or fair market value mechanism)

Renewal mechanism undefined; landlord faces uncertainty over future occupancy and has weakened leverage to reset rent or terms at expiration

[~] **LP-08 Insurance Requirements** — Insurance obligations incompletely defined

Missing: waiver of subrogation

Insurance obligations incompletely defined; landlord lacks reliable recourse against tenant insurers for premises-related losses and has no subrogation waiver to limit cross-claims

[~] **LP-10 Alterations & Improvements** — Tenant improvement allowance undefined

Missing: landlord contribution to tenant improvements (if any)

Tenant improvement allowance undefined; landlord faces uncertainty over its capital contribution exposure and the scope of improvements it may inherit at lease end

[~] **LP-12 Early Termination** — No tenant early termination right

Missing: unamortized tenant improvement cost recovery, co-tenancy termination trigger (if applicable)

No tenant early termination right; landlord retains full-term revenue certainty but loses the ability to recapture and re-let the space if a better tenant emerges

[~] **LP-17 Dispute Resolution** — Dispute framework incomplete

Missing: time limit for bringing claims

Dispute framework incomplete; attorney fee allocation and claim limitation periods undefined, creating uncertainty in landlord's enforcement leverage and defense costs

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RUN DETAILS

Models Used:
Extraction: Gemini 3.1 Pro (Google)

Processing: 6 API calls total, 2.3 minutes
Pipeline: CAM v2.5.3 -- Constrained Assertion Method

Analysis mode: Analyze (coverage & gaps)